BITS SCHOOL OF MANAGEMENT
Term 6, Block 34, 2025 - 26
Course Outline

Course Title: Private Markets, Public Markets and Hedge Funds

Faculty: Prof Vikram Kuriyan

Dates: Feb 16- Mar 1, 2026

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Office Hours: By prior appointment only

Course Description:
A course on Investment Philosophies that will be stimulating for students who want to understand how investments drive the real world: We will study a wide variety of approaches to investment management with a particular emphasis on the tradeoff between risk and return.

Key Takeaways:

At the close of this course, you will be able to:

- Articulate your own approach to investing
- Apply this knowledge as an investor, whether working as an entrepreneur, in the fund industry, or at an endowment or pension fund, or as an investment adviser, or as a hedge fund manager, or serving other individuals or managing one's own portfolio
- Create an efficient investment portfolio following a passive strategy (passive *beta)*
- Optimize investments in external, uncorrelated strategies such as hedge funds (*alpha*)
- Learn from and apply the knowledge of great value investors (value investing)

Learning Goals:
In addition to the course objectives listed above, students should expect to develop the following by the end of the course:

a) *Effective Oral Communication*: Each student will be able to communicate verbally in an organized, clear, and persuasive manner, and be a responsible listener.
Assessment: Class participation

b) *Critical and Integrative Thinking*: Each of you will be able to identify key elements of the various investment philosophies and develop a perspective that allows you to practice the art of investing that is supported with relevant information and integrative thinking to draw and assess conclusions.
Assessment: Exam

c) *Interpersonal awareness and Working in Teams*: Each student will demonstrate an ability to work effectively in a team, exhibiting behavior that reflects an understanding of the importance of roles and tasks, and the ability to manage conflict and compromise, so that team goals are achieved.
Assessment: Case write-ups, Data Analysis Exercise

Course Materials:
Recommended Textbooks
Damodaran, A., Investment Philosophies, Second Edition, Wiley Finance

Optional Textbooks and Manuscripts
Pioneering Portfolio Management by David Swensen
Expected Returns by Antti Illmanen
The Most Important Thing by Howard Marks
Value Investing: Buffett and Beyond by Bruce Greenwald, Sonkin, et al
Pedersen, Lasse Heje, Efficiently Inefficient: How Smart Money Invests & Market Prices Are Determined, Princeton University Press, 2015
Your Money and your Brain by Jason Zweig
The Big Short by Michael Lewis
Fatal Risk by Roddy Boyd
Panic by Andy Redleaf
Mis-Behavior of Markets by Benoit Mandelbrot
The Book of Value by Anurag Sharma
Evaluation of Active Management of the Norwegian Government Pension Fund by Andrew Ang, William Goetzmann and Stephen Schaefer.
Investing in India: A Value Investors Guide to the Biggest Untapped Opportunity in the world by Rahul Saraogi
Pitch the Perfect Investment by Paul Johnson and Paul Sonkin
The Wisdom of Finance by Mihir Desai

Guest lectures:
There will be some guest lecturers in lieu of some of the sessions.

Assessment: Maximum Marks 100

1. Case write-ups 30%
2. Class participation 25%
3. Attendance 5%
4. Final Exam 40%

Evaluation Components

- **Case Write-ups:** This is a tool that results in a more engaged class discussion. You will be randomly assigned *only 3 case writeups* over the term. In each class, the instructor will present some questions about the case for the write-up that is due the following session. Case write-ups will address these

questions, as well as anything your team deems interesting. Each write-up will be no longer than two pages. [You may discuss general concepts with anyone. However, if there are specific items related to the cases, you may not discuss them with anyone other than members of your own group. You are welcome (and, indeed, encouraged) to use any external material you can to improve your case write-up.] *Group size is 5 students. Students pick their own groups*

- **Class Participation:** Students will be expected to actively participate during the classroom discussions of the case.
- **Final (End-term) Exam:** Also, there will be a final end-term exam. This will be a closed-book exam, but you can bring in one double-sided page of notes.

POLICY:

Class Policies

We will start classes on time.

If you are late, the instructor has the choice of not allowing you to attend or creating creative punishments for tardiness.

Attendance Policy

The attendance policy as laid out by the Programme Office applies. Please refer to your student handbook for details.

Honour Code

BITSoM takes the honour code seriously, and so should you. The student handbook contains details on the honour code policy at BITSoM. You are expected to abide by an honour code and follow a culture of honesty. Please ensure that you read the relevant section(s) in the handbook. Feel free to ask us in case you have any questions.

Coding scheme for all course work:

Code	Nature of Course work Discussion		Nature of Reference Material	
	General Discussions	Specific Discussions	External Material	Case/Problem Solutions
AC-I	Not Allowed	Not Allowed	Not Allowed	Not Allowed
AC-IIa	Allowed	Not Allowed	Not Allowed	Not Allowed
AC-IIb	Not Allowed	Not Allowed	Allowed	Not Allowed
AC-IIIa	Allowed	Allowed	Not Allowed	Not Allowed
AC-IIIb	Allowed	Not Allowed	Allowed	Not Allowed
AC-IIIc	Not Allowed	Not Allowed	Allowed	Allowed
AC-IV	Allowed	Allowed	Allowed	Not Allowed
AC-V	Allowed	Allowed	Allowed	Allowed

Component	Honor Code
Class Participation	AC-V
Case write-ups	AC-IIIb
Final Exam	AC-I

Session Schedule

Session 1 Why Invest?

- Beta and Alpha
- Risk

Case write-up due:
None

Optional Reading:
Damodaran, A., Investment Philosophies, Chapter 1 (Introduction)
Dowie, M., The Best Investment Advice You'll Never Get
Bogle, J.C., What's Ahead for Stocks and Bonds – And How to Earn Your Fair Share

Session 2 Asset Allocation for the Institution

- The Endowment Model
- Strategic Asset Allocation

Case write-up due:
Harvard Management Company (2010)

Optional Reading:
David Swenson of Yale: Liquidity, The Utility of Diversification, The Role of Fixed Income, Active Management of Domestic Equities

Session 3 Equity strategies

- Value Investing

Case write-up due:
Berkshire Hathaway

Optional Reading:
Pedersen 6-9

Session 4 Private Equity and Public Markets in India

- Fireside conversation with students:
- Amit Goela, Partner at RaRe Enterprises. RaRe is the investment firm of Rakesh Jhunjhunwala

Session 5 Arbitrage Strategies

- Arbitrage as an Investment Strategy
- Arbitrage and its Limits

Case write-up due:

Long-Term Capital Management, L.P. (A)

Required Reading:

Optional Reading:
Pedersen 13-16
Shleifer, A., and R.W. Vishny, The Limits of Arbitrage

Session 6 Putting it all together

- Value, Global Macro and Emerging Markets
- Prem Watsa

Case write-up due:
Fairfax and Thomas Cook India: Permanent Capital, Private Equity and Public Markets (Ivey case)

Required Reading:
Greenwald lecture at Gabelli Conference

Session 7 Unleashing potential

- Value, Global Macro and Emerging Markets
- Prem Watsa

Case write-up due:
THOMAS COOK INDIA: POTENTIAL UNLEASHED — A JOURNEY TO VALUE CREATION

Session 8 Private Equity in India

• Guest Speaker: Deepak Mittal, Head & CIO at IIFL Capital

Session 9 Success and Failure in blitz-scaling new ventures

- Bootstrapping
- Scaling
- Capital Raising
- Governance
- Re-structuring

Case write-up due:
WeWork

Session 10 Risk Management, Disruption and Governance

- Governance
- Risk Management
- Role Models and Careers

Case write-up due:
OpenAI: Idealism Meets Capitalism

Required Reading:
"The Social Responsibility of Business is to Increase its Profits" Milton Friedman, The New York Times Magazine, September 13, 1970

Optional Reading:
A Primer for Investment Trustees
Careers and Survival: Competition and Risk in the Hedge Fund Industry
Blowing Up

You are encouraged to use Generative AI to engage with this course. If you do, submit the name(s) of the LLM(s) you used, the sequence of prompts you entered, and the responses the LLM(s) returned as part of your homework.